

Calderwood Partners LLC

www.calderwoodpartners.com

March 6, 2020

Melissa Johnson
General Manager
Scott, Smith and Edwards

Dear Ms. Johnson:

This letter sets down the terms on which our firm will act for Scott, Smith and Edwards in the redesign of the way it delivers its services, and it becomes our agreement at the moment you countersign the enclosed copy and return it to me. I have written it at some length and in plain language, in the belief that an engagement of this kind proceeds more steadily when both sides have read the same words and can point to them afterward, and I would ask you to weigh each paragraph against the conversation from which it comes and to tell me, before you sign, wherever it fails to match what you understood us to have agreed.

The Work We Have Agreed to Undertake

The assignment is a redesign of the way Scott, Smith and Edwards delivers its services to the customers it serves, and its object is an arrangement that carries the work through more reliably and at a cost the organization can defend, without unsettling the parts of the present operation that already serve those customers well. We will begin by establishing a faithful account of how service is delivered today, following the work as it actually moves rather than as the written procedures describe it, and only once that account is agreed will we form a view about how the work might be delivered differently.

Our manner of working is deliberate and, I hope, plain in the way it presents itself. We proceed from your own evidence rather than from a template, on the understanding that the value of the work lies in getting your particular question right and not in supplying a general answer that would fit any company equally and yours no better than the rest; and where the ground shifts under the analysis, as it commonly does once the work is genuinely under way, we will return to you and adjust the plan with you and not around you.

The Team That Will Carry the Work

Jason Torres, a Principal of the firm, will own the relationship with you and will be the person to whom you bring any question of consequence; he is accustomed to telling a client what the evidence shows rather than what is most comfortable to hear, and you should expect that of him. Working alongside him, Julie Vasquez will carry much of the underlying research and the comparison sets against which we test what we find, and she keeps every source labeled so that any figure we place before you can be traced back to where it came from. I will keep my own hand on the engagement at the points where a judgment must be made about how far a conclusion can be pressed before it outruns what we actually know, and nothing of consequence will leave the firm under our name without my having read it first.

Fees and Payment

Our fee for the engagement as I have described it is \$42,000, which covers the time of the people named above through the expected completion of the work. We will render invoices against that amount as the engagement proceeds, each payable within thirty days of your receipt of it. The fee covers our people and their time and not the incidental costs of the work, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us; and should the shape of the work change materially from what this letter contemplates, I will raise the question of the fee with you and we will settle it together before any further work begins, so that nothing reaches you on an invoice as a surprise.

Term and Termination

The engagement begins on March 16, 2020 and is expected to run for something on the order of seven months, though we will treat it as complete when the work is genuinely done and not merely when the calendar has turned. Either of us may bring it to an end on fourteen days' written notice to the other; and should you choose to do so, you will owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Scott, Smith and Edwards in the course of this work we will hold in confidence and use solely for the purposes of the engagement. That obligation binds every member of our team, it survives the end of the work, and it extends to the fact of our involvement as fully as to its substance. We ask the same

of you in respect of the methods and written materials we bring to the assignment, which represent the firm's own way of working.

Limitation of Liability

We will perform the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, govern the decisions your leadership will ultimately take on what we recommend, nor the conditions of the markets in which your business operates, and so, save to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be determined by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder of it will continue in force, unaffected.

If this letter reflects the understanding we reached, I would be grateful if you would sign one copy where indicated below and return it to me, keeping the other for your own file. Once your signed copy is in hand, Jason Torres will write to fix the first meetings and the initial requests for information; until then, you are welcome to reach me, Julie Ramsey, directly with anything the letter leaves open.

Julie Ramsey

Managing Principal

Date: March 6, 2020

Melissa Johnson

General Manager, Scott, Smith and Edwards

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